Management Discussion and Analysis

For the fourth quarter and year ended December 31, 2024

(Unaudited financial statements)

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Overall market environment

The Thai economy in 2024 gradually recovered at a slow pace, with expected growth at a modest 2.7%. The primary drivers are the normalization of government disbursement, alongside the continued recovery of the tourism and service sectors. The number of tourists is expected to increase to 35.5 million, up from 28.7 million in the previous year. Private sector consumption has shown some growth but began to slow toward the end of the year, particularly in durable goods, due to a contraction in bank credit. Meanwhile, industrial production continues to shrink due to reduced competitiveness in Thailand's key industrial products, particularly in the automotive sector. Inflation remains below the target range due to weak domestic demand.

The Thai Monetary Policy Committee (MPC) decided to lower the interest rate by 0.25 percentage points to 2.25% in October 2024. The primary rationale for this adjustment was to recalibrate the interest rate level rather than to initiate monetary policy easing cycle. The Committee maintained a positive view towards Thailand's economic and inflation outlook although the Thai economy faces heightened uncertainties in the near term due to U.S. trade policies. The slower pace of interest rate reductions has resulted in a narrowing of the interest rate differential. Nevertheless, uncertainties surrounding U.S. monetary policy, especially following Trump's election victory, caused the Thai baht to experience volatility throughout 2024.

In 2025, the Thai economy is expected to grow at an even slower pace, with growth remaining uneven across sectors. The tourism-related service sector will likely continue to expand, with tourist arrivals projected to increase to approximately 38 million, up from 35.5 million in 2024. However, the positive impact of tourism on the economy will diminish as tourist numbers near normal levels. The economy faces significant challenges in the coming year: (1) The industrial sector will continue to underperform, returning to low growth levels after consecutive contractions in 2024 due to reduced production capacity and declining inventories across many product categories, reflecting weakened competitiveness. (2) A slowdown in commercial bank credit will continue to pressure durable goods consumption, particularly for homes and vehicles. (3) Uncertainty from U.S. trade policies may further impact Thai exports. Given the weak economic recovery, low inflation, tight financial conditions from slowing credit growth, and poor credit quality, the Bank of Thailand is expected to further cut its policy interest rate by 0.75 percentage points in 2025, bringing it to 1.50%.

Key risks to Thailand's economic recovery in 2025 include: (1) Uncertainty surrounding U.S. international trade policies, which may affect Thai exports and the domestic production sector due to increased imports from China. (2) Intensified competition from Chinese industrial products and Thailand's declining competitiveness, which could further depress Thai manufacturing and negatively impact economic growth. (3) High household debt levels and rising non-performing loans, which may exacerbate the contraction in bank credit and further weaken durable goods consumption.

The auto industry in the first eleven months of 2024 continuously declined compared to the same periods last year amid economic slowdowns. The total number of car sales fell by 26.7%, led by commercial vehicles sales which fell 28.6% and passenger car sales which fell 23.6%. This is due to deteriorating income and purchasing power outlook in tandem with the economic outlook. The second-hand car market also faced significant challenges in 2024 due to chronic household debt problems. As a result, car repossessions surged. The situation was further aggravated by intense price competition from Chinese automakers, which caused a sharp decline in used car prices and directly impact hire purchase business performance.

The Stock Exchange of Thailand (SET) Index experienced a slight decline, marking its second consecutive year of reduction, particularly during the first half and final month of the year. This downturn was attributed to Thailand's slow economic recovery, weakening economic potential, political and economic policy uncertainties, as well as concerns over corporate governance issues that dampened investor confidence. The

market also faced capital outflows due to a persistent wide interest rate differential and diverging economic growth prospects. Despite some recovery in late 3Q24, driven by improving political stability and progress on the Vayupak Fund initiative, the SET Index at the end of 2024 closed at 1,400.21 points, down by 1.1% from 1,415.85 points at the end of 2023. The average daily trading value of securities on the SET and MAI (Market for Alternative Investment) markets in 2024 stood at Baht 46,551 million, a decline of 12.7% compared to Baht 53,331 million in 2023.

Operating results of the Bank and subsidiaries for the year 2024 and for 4Q24

For the year 2024, the Bank and subsidiaries reported a consolidated net profit of Baht 4,985 million, a decrease of 8.4% compared to 2023. This decline was primarily attributed to a reduction in net interest income, which fell by 11.0% as a result of the slowdown in loans following the Bank's asset quality management measures that focused on high-quality loans. Additionally, the increase in funding costs due to prevailing interest rate conditions led to a decrease in the loan spread compared to the previous year. However, expected credit losses improved in line with the enhanced quality of loans, which showed signs of improvement from the Bank's continuous asset quality management efforts over the past periods.

In terms of non-interest income, the Bank continued to generate good levels of income, resulting in a 7.5% increase in non-interest income YoY. For capital market business, fee income from wealth management and asset management business performed well, consistent with the growth in assets under advise and assets under management. Kiatnakin Phatra Securities maintained its position as the number one brokerage with a market share[1] of 22% for 2024. Additionally, the Bank saw an increase in net gain from financial instruments measured at fair value through profit or loss, as a results of market conditions. However, loan related income, particularly bancassurance fee, decreased in line with the Bank's measures to slow down loan growth.

Despite the challenges in the automotive industry that continued to impact the Bank's operations in 2024, particularly in the hire purchase business continuing from 2023, the Bank remained focused on accelerating asset quality management. The various measures implemented by the Bank over the past periods have shown positive signs, with expected credit losses gradually decreasing and performing better than the Bank's anticipated range. Losses from the sale of repossessed cars also improved slightly compared to the previous year. The Bank continued to exercise caution in setting aside provisions to address potential uncertainties, with expected credit losses for 2024 amounting to Baht 3,974 million, a decrease of 34.7% compared to the previous year, reflecting the improved quality of loans. As of the end of 2024, total allowance for expected credit losses to total NPLs ratio (coverage ratio) was at 134.2%. Overall asset quality remains within control with the Non-Performing Loans[2] (NPLs) to total loans ratio at 4.2% as of the end of 2024.

For the fourth quarter of 2024, the consolidated net profit totaled Baht 1,406 million, an increase of 109.9% from the same period in 2023, primarily due to a 36.0% reduction in expected credit losses. Losses from the sale of repossessed cars also decreased as the volume of repossessed vehicles gradually declined. Additionally, non-interest income increased by 55.3% YoY, driven by higher fee income from capital market businesses, including securities brokerage, wealth management, asset management and investment banking business. Additionally, there was an increase in net gain from financial instruments measured at fair value through profit or loss, in line with market conditions. This was offset by a 16.4% decrease in net interest income from 4Q23 level, due to a decline in interest income following loan slowdown measures and an increase in funding costs in line with interest rate conditions.

[1] Including SET and mai but excluding proprietary trading
[2] Excluding loans classified as Purchased or originated credit-impaired financial assets (POCI)

Summary of financial performance for the year 2024 and for 4Q24

Unit : Baht million	4Q24	3Q24	% QoQ	4Q23	% YoY	2024	2023	% YoY
Net Interest income	4,649	4,937	(5.8)	5,562	(16.4)	19,848	22,294	(11.0)
Non-interest income	2,163	1,668	29.7	1,393	55.3	6,954	6,469	7.5
Total operating income	6,813	6,605	3.1	6,955	(2.0)	26,802	28,763	(6.8)
Total other operating expenses	4,119	4,326	(4.8)	4,584	(10.1)	16,570	15,894	4.3
Expected credit losses	914	681	34.1	1,429	(36.0)	3,974	6,082	(34.7)
Profit from operating before income tax expenses	1,779	1,598	11.4	942	88.8	6,258	6,787	(7.8)
Income tax expenses	372	282	32.1	270	37.6	1,256	1,331	(5.6)
Net Profit (attributable to equity holders of the Bank)	**1,406**	**1,305**	**7.7**	**670**	**109.9**	**4,985**	**5,443**	**(8.4)**
Total Comprehensive income (attributable to equity holders of the Bank)	**1,385**	**1,375**	**0.7**	**857**	**61.6**	**5,189**	**5,452**	**(4.8)**
Basic earnings per share (Baht)	1.69	1.55	9.0	0.79	113.9	5.92	6.43	(7.9)

Annualized Ratios (%)	4Q24	3Q24	4Q23	2024	2023
Net Profit (Baht million)	**1,406**	**1,305**	**670**	**4,985**	**5,443**
ROAE	9.0	8.4	4.4	8.1	9.2
ROE	9.1	8.4	4.5	8.2	9.4
ROAA	1.1	1.0	0.5	1.0	1.0
Comprehensive income (Baht million)	**1,385**	**1,375**	**857**	**5,189**	**5,452**
ROAE	8.9	8.9	5.7	8.4	9.2
ROE	9.0	8.9	5.7	8.5	9.4
ROAA	1.1	1.1	0.6	1.0	1.0
Loan growth	(1.4)	(4.8)	(0.7)	(7.8)	5.3
NPLs/ Total loans (excluding interbank and POCI)	4.2	4.1	3.2	4.2	3.2
Allowance for expected credit losses/ Total NPLs excluding POCI (coverage ratio)	134.2	136.1	164.6	134.2	164.6

Net Interest Income

Unit: Baht million	4Q24	3Q24	% QoQ	4Q23	% YoY	2024	2023	% YoY
Interest income	7,273	7,638	(4.8)	8,057	(9.7)	30,515	30,717	(0.7)
Interest on loans	3,295	3,533	(6.7)	3,566	(7.6)	13,853	12,942	7.0
Hire purchase and financial lease income	3,323	3,421	(2.9)	3,749	(11.4)	13,885	14,760	(5.9)
Interest on POCI	17	23	(26.0)	38	(54.4)	93	704	(86.8)
Interest on interbank and money market items	240	305	(21.4)	389	(38.3)	1,267	1,281	(1.1)
Interest on securities	375	341	9.7	277	35.3	1,311	937	39.8
Others	23	15	60.5	38	(38.7)	106	94	12.8
Interest expense	2,624	2,701	(2.9)	2,495	5.2	10,667	8,424	26.6
Interest on deposits	1,901	1,892	0.5	1,580	20.3	7,383	5,004	47.5
Interest on interbank and money market items	102	78	30.9	117	(13.2)	396	440	(9.8)
Interest on debt issued and borrowings	175	256	(31.7)	322	(45.8)	1,038	1,104	(6.0)
Fees and charges on borrowings	5	3	60.2	6	(16.5)	16	24	(31.9)
FIDF and DPA fees	410	431	(4.7)	449	(8.6)	1,729	1,772	(2.4)
Others	31	42	(25.2)	20	53.1	105	80	31.1
Net Interest Income	**4,649**	**4,937**	**(5.8)**	**5,562**	**(16.4)**	**19,848**	**22,294**	**(11.0)**

For 2024, net interest income amounted to Baht 19,848 million, a decrease of 11.0% compared to 2023. This decline was primarily due to the reduction in loan spread, driven by the increase in funding costs. Interest income totalled Baht 30,515 million, a slight decrease of 0.7% from the previous year, mainly due to the reduction in interest income from hire purchase and finance lease income following the contraction of hire purchase loans consistent with the Bank's measures to slow down loan growth, as well as lower income from purchased or originated credit-impaired loans (POCI) from a high base in the previous year. Meanwhile, interest expenses amounted to Baht 10,667 million, an increase of 26.6% from 2023, in line with rising market interest rates. The yield on loans was efficiently managed, increasing to 7.3% from 7.1% in 2023. However, cost of funds for 2024 also increased in line with market interest rates, rising to 2.5% compared to 1.9% in 2023. Overall, this resulted in the loan spread for 2024 narrowing to 4.8% from 5.2% in 2023

For 4Q24, net interest income decreased by 16.4% compared to the same quarter of last year, due to the reduction in interest income following the slowdown in loans, while funding costs also increased. Loan spread for 4Q24 lowered to 4.6% from 5.1% YoY.

Compared to 3Q24, net interest income decreased by 5.8%, mainly due to the reduction in interest income as a result of the slowdown in loans coupled with the decrease in interest rates during 4Q24 following the reduction in policy rate. Meanwhile, funding costs also exhibited a gradual decline.

Loan Yield, Cost of Fund and Loan Spread

%	4Q24	3Q24	2Q24	1Q24	4Q23	2024	2023
Yield on loan	7.2	7.3	7.2	7.3	7.3	7.3	7.1
Cost of fund	2.6	2.6	2.5	2.4	2.2	2.5	1.9
Loan spread	4.6	4.7	4.8	4.9	5.1	4.8	5.2

Non-Interest Income

Unit: Baht million	4Q24	3Q24	% QoQ	4Q23	% YoY	2024	2023	% YoY
Fees and services income	1,874	1,728	8.5	1,564	19.8	6,411	6,460	(0.8)
Fees and services expenses	255	245	4.0	231	10.4	1,014	983	3.2
Fees and services income, net	1,619	1,483	9.2	1,333	21.5	5,396	5,476	(1.5)
Gain (loss) on financial instruments measured at fair value through profit or loss, net	484	60	713.5	(38)	(1,368.4)	1,147	441	160.3
Gain (loss) on investments, net	-	-	n/a	-	n/a	23	(12)	(288.5)
Dividend income	9	45	(80.7)	18	(52.4)	153	340	(54.9)
Other operating income	51	80	(36.4)	80	(36.3)	234	224	4.6
Total Non-Interest Income	**2,163**	**1,668**	**29.7**	**1,393**	**55.3**	**6,954**	**6,469**	**7.5**

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For the year 2024, non-interest income amounted to Baht 6,954 million, an increase of 7.5% from 2023. Net fee and service income performed well despite the sluggish capital market and loan slowdown. Income from capital market businesses increased, particularly in wealth management and asset management business, driven by the growth in assets under advise and assets under management. Kiatnakin Phatra Securities maintained its number one position with a market share[3] of 22.45% for 2024. This was offset by a decline in bancassurance fee following the slowdown in loans, overall, resulting in a slight decrease of 1.5% in net fee and service income. Additionally, for 2024, net gains from financial instruments measured at fair value through profit or loss increased YoY due to market conditions.

For 4Q24, non-interest income amounted to Baht 2,163 million, an increase of 55.3% compared to the same quarter in the previous year. Net fee and service income increased by 21.5% YoY, driven by higher income from brokerage business, wealth management, asset management and investment banking business during 4Q24. Furthermore, net gains from financial instruments measured at fair value through profit or loss also increased in line with market conditions.

Compared to 3Q24, non-interest income increased by 29.7%. Net fee and service income increased by 9.2% QoQ, primarily from wealth management and investment banking business. Additionally, the Bank's net gains from financial instruments measured at fair value through profit or loss increased from market conditions.

[3] Including SET and mai but excluding proprietary trading

Other operating expenses

Unit: Baht million	4Q24	3Q24	% QoQ	4Q23	% YoY	2024	2023	% YoY
Employee's expenses	1,906	1,981	(3.8)	1,900	0.3	7,248	7,101	2.1
Directors' remuneration	13	10	30.7	13	(1.6)	39	43	(8.7)
Premises and equipment expenses	353	365	(3.4)	340	3.7	1,414	1,323	6.9
Taxes and duties	153	173	(11.7)	154	(1.0)	671	626	7.0
Loss from revaluation of foreclosed assets (reversal)	(31)	(29)	8.1	83	(138.0)	(111)	(560)	(80.2)
Loss from sale of foreclosed assets	1,108	1,186	(6.6)	1,399	(20.8)	4,828	4,806	0.5
(Gain) loss from sale of foreclosed properties	8	(30)	(125.6)	(10)	(175.8)	(4)	(65)	(94.5)
Loss from sale of repossessed cars	1,101	1,216	(9.5)	1,409	(21.9)	4,832	4,871	(0.8)
Other expenses	618	639	(3.2)	694	(10.9)	2,480	2,554	(2.9)
Total other operating expenses	**4,119**	**4,326**	**(4.8)**	**4,584**	**(10.1)**	**16,570**	**15,894**	**4.3**

For 2024, operating expenses remained well-controlled and amounted to Baht 16,570 million, an increase of 4.3% from 2023. This increase was primarily due to item on revaluation of foreclosed assets where during 2023 the Bank performed revision on the allowance for impairment of foreclosed properties, leading to a reversal on the allowance for impairment of foreclosed properties where there is no such reversal item for the year 2024. Meanwhile, losses from the sale of repossessed cars for 2024 amounted to Baht 4,832 million, a slight decrease from 2023, in line with the gradual reduction in the volume of repossessed cars. Excluding items related to foreclosed assets, the cost to income ratio for 2024 remained efficiently managed at 44.2%.

For 4Q24, operating expenses amounted to Baht 4,119 million, a decrease of 10.1% YoY largely driven by lower losses from the sale of repossessed vehicles which for 4Q24 amounted to Baht 1,101 million, a decrease of 21.9% YoY, in line with the reduction in the volume of repossessed cars.

Expected Credit Loss (ECL)

Unit: Baht million	4Q24	3Q24	% QoQ	4Q23	% YoY	2024	2023	% YoY
Expected Credit Losses	914	681	34.1	1,429	(36.0)	3,974	6,082	(34.7)
Credit Cost (%)	2.18	1.99		3.12		2.30	3.01	

For the year 2024, the Bank maintained its prudent approach in setting aside provisions based on the expected credit loss (ECL) model, carefully considering various factors and potential impacts on loan quality which may arise as a result of the uncertain economic conditions and the challenges within the automotive industry. The expected credit loss for 2024 amounted to Baht 3,974 million, a decrease of 34.7% compared to Baht 6,082 million provisioned for during 2023. This reduction was driven by improved loan quality due to the Bank's continuous efforts in asset quality management and the better quality of new loans. Additionally, the lower provisions were in line with the slowdown in loan volume. The expected credit loss and losses from the sale of repossessed cars (credit cost) for 2024 represented 2.30% of average loans, down from 3.01% in the previous year.

For 4Q24, the expected credit loss amounted to Baht 914 million, a decrease of 36.0% from the same quarter in 2023, as a result of the Bank's ongoing asset quality management measures. Additionally, in 4Q23, the

Bank had set aside additional provisions for a large loan customer, whereas in 4Q24, there were no such provisions. The expected credit loss and losses from the sale of repossessed cars (credit cost) for 4Q24 was at 2.18% of average loans, down from 3.12% in the same quarter of 2023.

Statements of Financial Position

Assets

Assets as of the end of December 2024 totaled Baht 498,424 million, a decline of 8.6% from the end of 2023 driven by the decline in loans to customers and accrued interest receivables and interbank and money market items.

Assets (Baht Thousand)	**Consolidated**		**Change**	
	Dec 31, 2024	**Dec 31, 2023**	**Amount**	**%**
Cash	1,247,825	1,381,596	(133,771)	(9.7)
Interbank and money market items, net	38,984,574	62,029,433	(23,044,859)	(37.2)
Financial assets measured at fair value through profit or loss	23,893,313	16,035,387	7,857,926	49.0
Derivatives assets	8,218,729	8,062,453	156,276	1.9
Investment, net	34,540,203	36,261,569	(1,721,366)	(4.7)
Investments in properties, net	19,635	20,038	(403)	(2.0)
Loans to customers and accrued interest receivables, net	354,941,172	384,825,621	(29,884,449)	(7.8)
Properties foreclosed, net	6,984,107	7,240,407	(256,300)	(3.5)
Land, premises and equipment, net	7,086,744	7,436,488	(349,744)	(4.7)
Right-of-use assets	294,595	245,726	48,869	19.9
Other intangible assets, net	1,727,388	1,707,800	19,588	1.1
Goodwill	3,066,035	3,066,035	-	0.0
Deferred tax assets	1,786,650	1,717,031	69,619	4.1
Accounts receivable from clearing house and broker - dealers	1,272,886	1,954,980	(682,094)	(34.9)
Securities and derivative business receivables	6,159,786	5,528,970	630,816	11.4
Other assets, net	8,200,749	7,813,483	387,266	5.0
Total Assets	**498,424,391**	**545,327,017**	**(46,902,626)**	**(8.6)**

Liabilities

Liabilities as of the end of December 2024, amounted to Baht 435,259 million, declining 10.1% from the end of 2023 driven by the decline in debts and borrowings of 60.3%. Deposits remained relatively stable from the end of 2023 and comprised of 65.5% in term deposits with current and saving accounts (CASA) contributing 34.5% of total deposits amount. Loans to deposits and borrowings ratio as of the end of 2024 stood at 95.1%.

Liabilities (Baht Thousand)	Consolidated		Change	
	Dec 31, 2024	Dec 31, 2023	Amount	%
Deposits	359,305,988	358,902,512	403,476	0.1
Current Account	1,741,420	1,124,152	617,269	54.9
Saving Account	122,334,542	127,177,454	(4,842,912)	(3.8)
Term Deposit	235,199,651	230,523,115	4,676,536	2.0
Certificate of Deposit	30,374	77,792	(47,418)	(61.0)
Interbank and money market items, net	17,399,449	23,035,081	(5,635,632)	(24.5)
Liabilities payable on demand	346,504	483,354	(136,850)	(28.3)
Financial liabilities measured at fair value through profit or loss	824,952	1,332,833	(507,881)	(38.1)
Derivatives liabilities	9,116,172	8,502,677	613,495	7.2
Debt issued and borrowings	27,349,657	68,899,979	(41,550,322)	(60.3)
Lease liabilities	237,751	182,008	55,743	30.6
Provisions	1,570,201	1,301,936	268,265	20.6
Deferred tax liabilities	559,500	555,218	4,282	0.8
Accounts payable to clearing house and broker - dealers	640,157	151,102	489,055	323.7
Securities and derivative business payables	5,956,383	6,894,432	(938,049)	(13.6)
Accrued interest expenses	1,297,007	1,063,220	233,787	22.0
Other accounts payable	4,832,769	7,010,932	(2,178,163)	(31.1)
Income tax payable and specific business tax payable	820,123	471,466	348,657	74.0
Other liabilities	5,002,606	5,287,417	(284,811)	(5.4)
Total Liabilities	**435,259,219**	**484,074,167**	**(48,814,948)**	**(10.1)**

Shareholder's Equity

Shareholders' equity attributable to owners of the Bank as of the end of 4Q24 totaled Baht 62,864 million, an increase of 3.1% from the end of 2023. The increase is largely due to the year 2024 net profit of the Bank's equity holders and offset by the dividend payment during 2024. For the Share Repurchase Project, approved by the Bank's Board of Directors on August 22, 2024, the repurchase period is set from August 28 to November 28, 2024 with an approval by the Bank's Board of Directors on November 14, 2024 for the extension of the share repurchase project period to the period from August 28, 2024 to February 27, 2025. As of the end of 2024, the Bank had already repurchased 15,999,800 shares under the repurchase program, with a total value of Baht 791 million. The Bank has appropriated an equivalent amount from retained earnings to the treasury shares reserve.

Capital Adequacy Ratio

The Group maintains a strong capital position and can adequately withstand the current uncertainties and is above the regulatory requirement (regulatory requirement and additional capital conservation buffer) of 11.0% for total capital ratio, 8.5% for Tier 1 capital and 7.0% for Common Equity Tier 1 capital. The Group performs capital management planning to maintain an appropriate level of capital which is consistent with the annual business plan of the Group including any reviews during the year to ensure appropriate level of capital to withstand any uncertainties.

As of December 31, 2024, the Bank Capital Adequacy Ratio (BIS ratio) under Basel III which included profit up to end of 2Q24 after interim dividend payment was at 16.59% while Tier 1 ratio was at 13.07%. When including net profit up to end of 4Q24, the BIS ratio will increase to 17.22% while Tier 1 ratio will be 13.70%. The Bank Tier 1 capital are all Common Equity Tier 1 contributing to 78.76% of total capital reflecting high quality of capital.

Capital Requirement (%)	**Minimum regulatory requirement**	**Capital Conservation Buffer**	**Total Capital Requirement**
Common Equity Tier 1	4.50	2.50	7.00
Tier 1 capital	6.00	2.50	8.50
Total capital	8.50	2.50	11.00

Total Capital and Capital Adequacy Ratio of the Bank as of the end of December 2024 are as follows:

	Bank Only			**Consolidated**		
	Dec 2024	**Sept 2024**	**Dec 2023**	**Dec 2024**[4]	**Sept 2024**	**Dec 2023**
Capital Requirement (Unit: Baht million)						
Common Equity Tier 1	48,323	48,738	47,655	n/a	55,252	54,047
Tier 1 capital	48,323	48,738	47,655	n/a	55,252	54,047
Total capital	61,353	61,802	60,947	n/a	68,459	67,471
Capital Adequacy Ratio (Unit: %)						
Common Equity Tier 1	13.07	13.04	12.30	n/a	14.00	13.30
Tier 1 capital	13.07	13.04	12.30	n/a	14.00	13.30
Total capital	**16.59**	**16.54**	**15.73**	**n/a**	**17.34**	**16.61**

[4] Consolidated capital information for December 2024 will be disclosed with audited financial statements

Business Segment Performance

The Kiatnakin Phatra Financial Group ("the Group") businesses are divided into two main areas: the Commercial Banking Business operated by the Bank and Capital Market Business operated by its subsidiaries which are comprised of KKP Capital, Kiatnakin Phatra Securities, KKP Dime Securities and Kiatnakin Phatra Asset Management.

Commercial Banking Business includes retail lending, commercial lending, corporate lending, Special Asset Management (SAM) or distressed asset management loan and other loans. The breakdown of total loan portfolio is as follows;

Loans to Customers

Type of loans[5] (Baht million)	**Dec 2024**	**Sept 2024**	**Change (% QoQ)**	**Dec 2023**	**Change (% YTD)**
Retail Lending	**252,752**	**258,166**	**(2.1)**	**270,583**	**(6.6)**
Hire Purchase	166,439	170,995	(2.7)	186,981	(11.0)
Personal loan	13,711	14,385	(4.7)	13,703	0.1
Micro SMEs loan	15,150	15,253	(0.7)	14,000	8.2
Housing loan	57,452	57,534	(0.1)	55,899	2.8
Commercial Lending	**55,748**	**56,142**	**(0.7)**	**58,662**	**(5.0)**
Real Estate Development loan	23,150	24,452	(5.3)	25,168	(8.0)
SMEs loan	32,597	31,690	2.9	33,494	(2.7)
Corporate Lending	51,754	50,079	3.3	57,720	(10.3)
Special Asset Management loan	1,250	1,248	0.2	1,033	21.1
Lombard loan	6,515	7,680	(15.2)	11,047	(41.0)
Total loans	**368,018**	**373,315**	**(1.4)**	**399,045**	**(7.8)**
Total loans (excluding POCI)[6]	**367,547**	**372,846**	**(1.4)**	**398,455**	**(7.8)**

As of the end of 4Q24, total loans, excluding POCI, amounted to Baht 367,547 million, reflecting a 7.8% contraction from the end of 2023. This aligns with the Bank's strategy for slower loan growth amid ongoing economic uncertainties and challenges within the automotive industry. The focus for loan expansion will be on quality and profitable segments. The details of loans by segment are as follows:

- **Retail Lending** amounted to Baht 252,752 million, decreasing by 6.6% from the end of 2023. Retail loans include hire purchase loans, personal loans, Micro SMEs loans and housing loans.
  - **Hire purchase loans** totaled Baht 166,439 million, contraction of 11.0% from the end of 2023. The portion of hire purchase loans to the Bank's total loan portfolio was at 45%, with the ratio of new cars to used cars remaining stable at 38:62. Domestic new car sales for the first 11 months of 2024 amounted to 518,659 units, a 26.7% decline compared to the same period last year. The Bank's penetration rate for new car

[5] Excluding accrued interest
[6] Purchased or originated credit-impaired financial assets (POCI)

loans in the domestic new car sales market for the first 11 months of 2024 was at 3.0%, remaining stable from the level during the first 9 months of 2024.

- **Other retail loans** amounted to Baht 86,312 million, with overall other retail loans expansion of 3.2% from the end of 2023. The total combined other retail loans portion to total Bank loan portfolio increased to 23.5% as of the end of 2024.

- **Commercial Lending** business loans amounted to Baht 55,748 million, declining by 5.0% from the end of 2023 primarily due to loan repayments. Commercial Lending includes real estate development loans and SMEs loans detail are as follows:
  - **Real estate development loans** totaled Baht 23,150 million, decreased by 8.0% from the end of 2023.
  - **SMEs loans** were Baht 32,597 million, declining by 2.7% from the end of 2023
- **Corporate Lending** provides lending services to listed companies and large corporates or financing for investment banking transactions of Capital Market Business. Current outstanding loans totaled Baht 51,754 million, decreased by 10.3% from the end of 2023 from corporate loan repayments,
- **Special asset management (SAM)** is responsible for distressed asset management business and sale of foreclosed assets. Current outstanding loans totaled Baht 1,250 million. Assets under SAM were subjected to change in classification from TFRS 9 for financial assets classified as purchased or originated credit impaired from previous classification of Investments in loans.
- **Lombard Loan**, a multi-purpose credit facility for Wealth Management clients using financial assets as collateral. Current outstanding loans totaled Baht 6,515 million, declining by 41.0% from the end of 2023.

Loan classifications and Allowance for expected credit losses (ECL)

Under TFRS 9, loans and accrued interest receivables as of the end of December 2024 are classified into stages as follows:

Unit : Baht million	December 2024		September 2024		December 2023	
	Total Loans and Accrued Interest Receivables	Expected Credit Losses (ECL)[7]	Total Loans and Accrued Interest Receivables	Expected Credit Losses (ECL)[7]	Total Loans and Accrued Interest Receivables	Expected Credit Losses (ECL)[7]
Stage 1 : Performing financial assets	330,736	6,733	333,886	6,855	360,354	7,761
Stage 2 : Under-Performing financial assets	26,605	5,767	28,390	5,934	29,544	5,908
Stage 3 : Non-Performing financial assets	17,473	8,215	17,407	8,163	14,710	7,047
Purchased or originated credit-impaired financial assets	734	86	716	87	884	71
Total	**375,549**	**20,801**	**380,398**	**21,040**	**405,493**	**20,787**

The Bank prudently set up provisions for expected credit losses under TFRS 9 framework taking into consideration the various uncertainties. The Bank consistently monitors the asset quality of all loan segments and set aside prudent provisioning level as well as continuously reviews the appropriateness of such provisioning level, taking into considerations signs of any possible deterioration in asset quality. As of the end of 4Q24, allowance for

[7] Including ECL for loans and loan commitments and financial guarantees

expected credit losses totaled Baht 20,801 million. The total allowance for expected credit losses to total NPLs ratio (coverage ratio) stood at 134.2% at the end of 2024.

NPLs distribution by loan type

NPLs	December 2024		September 2024		December 2023	
(Baht million)	Amount	% of loans	Amount	% of loans	Amount	% of loans
Retail Lending	**8,290**	**3.3**	**8,202**	**3.2**	**7,579**	**2.8**
Hire Purchase	5,515	3.3	5,465	3.2	5,053	2.7
Personal loan	114	0.8	119	0.8	93	0.7
Micro SMEs loan	1,826	12.1	1,799	11.8	1,619	11.6
Housing loan	835	1.5	818	1.4	814	1.5
Commercial Lending	**3,985**	**7.1**	**4,069**	**7.2**	**3,942**	**6.7**
Real Estate Development loan	2,080	9.0	2,081	8.5	2,167	8.6
SMEs loan	1,905	5.8	1,988	6.3	1,775	5.3
Corporate Lending	2,795	5.4	2,760	5.5	676	1.2
Special Asset Management loan	904	72.3	902	72.3	1,023	99.0
Lombard loan	-	0.0	-	0.0	-	0.0
Total NPLs	**15,975**	**4.3**	**15,933**	**4.3**	**13,220**	**3.3**
Total NPLs (excluding POCI)	**15,503**	**4.2**	**15,464**	**4.1**	**12,630**	**3.2**

As of the end of 4Q24, the Non-Performing Loans (NPLs) or Stage 3 loans, excluding POCI totaled Baht 15,503 million, remaining within control and relatively stable from 3Q24 level of Baht 15,464 million. Percentage of NPLs to total loans for 4Q24 was at 4.2% also remaining close to level during 3Q24. The Bank continues to proactively manage the loan portfolio quality through debt restructuring, write off and through various assistance measures as appropriate for each customer segment as well as focusing on loan expansions in quality segments.

Capital Market business comprises of brokerage business, investment banking business, investment business, asset management business and digital financial and investment services. Details are as follows:

- **Equity and Derivatives Brokerage Business**

Kiatnakin Phatra Securities Public Company Limited ("KKPS") operates agency business providing both securities and derivatives brokerage services to local and foreign institutional investors, as well as high net worth individuals under Wealth Management. For high net worth clients, other wealth management products are provided such as local and foreign mutual funds and structured products. For 2024, the market share[8] of KKPS was 22.45%, ranking 1st from total 37 brokers. KKPS generated brokerage revenue totaling Baht 1,431 million comprising of equity brokerage revenue of Baht 1,170 million, derivatives brokerage revenue of Baht 189 million and other brokerage revenue of Baht 72 million. Additionally, KKPS also had brokerage revenue from selling agent fees of Baht 1,065 million[9].

[8] Including SET and mai but excluding proprietary trading
[9] Including selling agent fee receive from subsidiary company

- **Investment Banking Business**

Investment banking business, operated by KKPS, provides financial advisory service as well as underwriting service. For 2024, total revenue of the investment banking business which includes financial advisory fee, underwriting fee, revenue from tender offer agent, equity brokerage revenue and other fee income totaled Baht 594 million.

- **Investment Business**

Investment Business is managed by 2 departments, comprising of Direct Investment Department ("DI"), with medium to long-term investment horizon, and Equity and Derivatives Trading Department ("EDT"). EDT focuses on equity and equity-linked securities in the capital market and derivatives market, with short-term investment not more than 1 year by applying Arbitrage investment strategy as well as issuing and offering financial structured products.

In 2024, DI focusing on long-term investment with value based investment philosophy recorded gain on investment including other comprehensive income totaling Baht 374 million. Meanwhile, EDT had gain on investment totaling Baht 483 million[10]. Additionally, there were other investment incomes from treasury and liquidity management, resulting in overall investment gain of Baht 1,308 million.

- **Asset Management Business**

Kiatnakin Phatra Asset Management Company Limited ("KKPAM"), under mutual fund and private fund management licenses, offers fund management services to individuals and corporate customers. KKPAM's mutual fund AUM as of 31 December 2024 was Baht 215,749 million with total 171 funds under management consisting of 170 mutual funds and 1 property fund. KKPAM's market share in terms of mutual fund was at 3.65%. In 2024, KKPAM's fee income from mutual fund business totaled Baht 1,186 million.

As of 31 December 2024, asset under management from private fund was Baht 23,409 million. KKPAM's fee income from private fund business totaled Baht 100 million.

- **Digital Financial and Investment Services**

The Group has set up KKP Dime Securities Company Limited ("KKP Dime") which obtained the securities businesses license from the Securities and Exchange Commission. Currently, KKP Dime operates agency business providing local mutual fund, foreign and local securities brokerage services, bond investment services, gold investment services and foreign currency deposit account (Dime! FCD) of Kiatnakin Phatra Bank to individual clients who are domiciled in Thailand focusing on the mass segment.

[10] Income before deducting the cost of hedging, once deducting those costs, net gain was Baht 472 million

Profit and Loss Transaction

For the year ended December 31,	Consolidated		Change	
(Baht Thousand)	2024	2023	Amount	%
Interest income	30,514,872	30,717,442	(202,570)	(0.7)
Interest expenses	10,667,066	8,423,616	2,243,450	26.6
Interest income, net	19,847,806	22,293,826	(2,446,020)	(11.0)
Fees and services income	6,410,698	6,459,728	(49,030)	(0.8)
Fees and services expenses	1,014,403	983,248	31,155	3.2
Fees and services income, net	5,396,295	5,476,480	(80,185)	(1.5)
Gain (loss) on financial instruments measured at fair value through profit or loss, net	1,147,164	440,647	706,517	160.3
Gain (loss) on investments, net	22,772	(12,080)	34,852	(288.5)
Dividend income	153,150	339,743	(186,593)	(54.9)
Other operating income	234,401	224,164	10,237	4.6
Total operating income	26,801,588	28,762,780	(1,961,192)	(6.8)
Other operating expenses				
Employee's expenses	7,247,793	7,101,128	146,665	2.1
Directors' remuneration	39,353	43,085	(3,732)	(8.7)
Premises and equipment expenses	1,414,232	1,323,212	91,020	6.9
Taxes and duties	670,628	626,475	44,153	7.0
Loss from revaluation of foreclosed assets (reversal)	(110,738)	(560,154)	449,416	(80.2)
Loss from sale of foreclosed assets	4,828,497	4,806,376	22,121	0.5
Other expenses	2,480,082	2,554,113	(74,031)	(2.9)
Total other operating expenses	16,569,847	15,894,235	675,612	4.3
Expected credit losses	3,973,618	6,081,910	(2,108,292)	(34.7)
Profit from operating before income tax expenses	6,258,123	6,786,635	(528,512)	(7.8)
Income tax expenses	1,255,541	1,330,686	(75,145)	(5.6)
Net profit	5,002,582	5,455,949	(453,367)	(8.3)
Net profit attributable to:				
Equity holders of the Bank	4,985,068	5,443,403	(458,335)	(8.4)
Non-controlling interests	17,514	12,546	4,968	39.6
Total comprehensive income attributable to:				
Equity holders of the Bank	5,188,853	5,451,740	(262,887)	(4.8)
Non-controlling interests	17,496	12,547	4,949	39.4
Basic earnings per share (Baht)	5.92	6.43	(0.51)	(7.9)

Profit and Loss Transaction

For the three-month period ended December 31,	Consolidated		Change	
(Baht Thousand)	2024	2023	Amount	%
Interest income	7,273,004	8,057,099	(784,095)	(9.7)
Interest expenses	2,623,667	2,495,154	128,513	5.2
Interest income, net	4,649,337	5,561,945	(912,608)	(16.4)
Fees and services income	1,874,291	1,563,910	310,381	19.8
Fees and services expenses	255,226	231,248	23,978	10.4
Fees and services income, net	1,619,065	1,332,662	286,403	21.5
Gain (loss) on financial instruments measured at fair value through profit or loss, net	484,397	(38,191)	522,588	(1,368.4)
Gain (loss) on investments, net	-	-	-	n/a
Dividend income	8,708	18,313	(9,605)	(52.4)
Other operating income	51,040	80,108	(29,068)	(36.3)
Total operating income	6,812,547	6,954,837	(142,290)	(2.0)
Other operating expenses				
Employee's expenses	1,905,643	1,899,919	5,724	0.3
Directors' remuneration	13,171	13,383	(212)	(1.6)
Premises and equipment expenses	352,689	340,165	12,524	3.7
Taxes and duties	152,593	154,180	(1,587)	(1.0)
Loss from revaluation of foreclosed assets (reversal)	(31,368)	82,506	(113,874)	(138.0)
Loss from sale of foreclosed assets	1,108,157	1,399,281	(291,124)	(20.8)
Other expenses	618,346	694,290	(75,944)	(10.9)
Total other operating expenses	4,119,231	4,583,724	(464,493)	(10.1)
Expected credit losses	914,025	1,428,830	(514,805)	(36.0)
Profit from operating before income tax expenses	1,779,291	942,283	837,008	88.8
Income tax expenses	371,856	270,205	101,651	37.6
Net profit	1,407,435	672,078	735,357	109.4
Net profit attributable to:				
Equity holders of the Bank	1,405,631	669,740	735,891	109.9
Non-controlling interests	1,804	2,338	(534)	(22.8)
Total comprehensive income attributable to:				
Equity holders of the Bank	1,384,720	856,781	527,939	61.6
Non-controlling interests	1,778	2,321	(543)	(23.4)
Basic earnings per share (Baht)	1.69	0.79	0.90	113.9